# Meridian & Associates LLP

Tax Services Practice

# State and Local Tax Services

Nexus Analysis, Apportionment Planning, Sales & Use Tax,
Property Tax, and State Controversy Practice Guide

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| **Document ID:** | M&A-TAX-SALT-008 |
| **Version:** | 3.0 |
| **Effective Date:** | March 1, 2026 |
| **Classification:** | CONFIDENTIAL |
| **Distribution:** | Internal Use Only |

## 1. Executive Summary

Meridian & Associates LLP's State and Local Tax (SALT) practice assists multistate businesses in navigating the increasingly complex patchwork of state and local tax obligations across all 50 states, the District of Columbia, and U.S. territories. The SALT landscape has undergone a fundamental transformation following the U.S. Supreme Court's 2018 decision in South Dakota v. Wayfair, Inc. (585 U.S. 162), which eliminated the physical presence requirement for sales tax nexus and opened the door for states to assert economic nexus based on sales volume and transaction thresholds.

Our SALT practice encompasses six core service lines: multistate income and franchise tax, sales and use tax, property tax, unclaimed property, state tax controversy, and state tax technology. The practice is staffed by 85 professionals, including 12 partners, and serves over 400 clients ranging from mid-market companies with operations in 5-10 states to Fortune 100 multinationals with nexus obligations in all 50 states.

## 2. Multistate Income and Franchise Tax

### 2.1 Nexus Analysis Framework

Nexus -- the minimum connection a business must have with a state before that state can impose its tax -- is the threshold question in multistate taxation. Meridian's nexus analysis evaluates each client's activities against three nexus frameworks:

- Physical Presence Nexus: Employees, offices, warehouses, inventory, equipment, or agents located in the state. Even temporary presence (trade shows, installation crews, remote employees) can create nexus in many states.
- Economic Nexus (Post-Wayfair): Revenue or transaction thresholds that trigger nexus regardless of physical presence. Thresholds vary by state; common standards include $100,000 in sales or 200 transactions (the Wayfair safe harbor), though several states have adopted lower thresholds or eliminated the transaction count test.
- Factor Presence Nexus: Some states (e.g., California, New York, Michigan) apply income tax economic nexus based on a threshold level of property, payroll, or sales in the state, independent of the Wayfair sales tax framework.

For businesses engaged in interstate sales of services or intangibles, Meridian evaluates the applicability of Public Law 86-272 (15 U.S.C. 381-384), which prohibits states from imposing net income taxes on businesses whose only in-state activity is the solicitation of orders for sales of tangible personal property. Importantly, P.L. 86-272 does not protect against franchise taxes, gross receipts taxes, or sales taxes, and the Multistate Tax Commission's revised interpretation (adopted in 2021) significantly narrows protection for businesses with internet-based activities, including cookie placement, app-based interactions, and marketplace facilitation.

### 2.2 Apportionment Planning

Once nexus is established, the next critical question is how much income a state may tax. Most states use an apportionment formula to allocate a company's total taxable income among the states where it has nexus. Meridian's apportionment planning services include:

- Formula Analysis: Evaluating each state's apportionment formula (single sales factor, three-factor with double-weighted sales, equally weighted three-factor, or cost-of-performance vs. market-based sourcing for services and intangibles).
- Sales Factor Optimization: Structuring intercompany transactions, supply chain configurations, and customer billing entities to minimize the sales factor numerator in high-tax states while preserving economic substance.
- Throwback and Throwout Rules: Identifying states with throwback rules (which reassign 'nowhere sales' to the state of origin) and evaluating strategies to minimize their impact, including establishing nexus in destination states to avoid throwback.
- Alternative Apportionment: Petitioning states for relief under UDITPA Section 18 or state equivalents when the standard formula does not fairly represent the taxpayer's business activity in the state.

### 2.3 Combined and Unitary Reporting

Approximately 28 states require or permit combined or unitary reporting, which requires related entities engaged in a unitary business to file a combined return. Meridian assists clients with:

- Unitary Business Determination: Applying the three-unities test (unity of ownership, operation, and use) and the contribution-dependency test to determine which entities must be included in the combined group.
- Water's Edge vs. Worldwide Election: Evaluating whether a water's-edge election (limiting the combined group to domestic entities and certain tax-haven entities) is more beneficial than worldwide combined reporting.
- Intercompany Eliminations: Ensuring proper elimination of intercompany transactions within the combined group while preserving the integrity of entity-level apportionment factors.
- Joyce vs. Finnigan Rules: Analyzing whether the state applies the Joyce rule (only entities with nexus must include their sales in the apportionment formula) or the Finnigan rule (all entities in the combined group include their sales), which can materially affect the combined sales factor.

# 3. Sales and Use Tax

## 3.1 Compliance Services

Meridian's sales and use tax compliance practice manages over 12,000 monthly state and local filings for clients across retail, manufacturing, technology, and financial services sectors. Our compliance services are supported by Vertex O Series and Avalara AvaTax technology platforms, with Meridian teams providing oversight, exception management, and jurisdiction research.

- Taxability Matrix Maintenance: Maintaining up-to-date taxability determinations for each client's product and service catalog across all jurisdictions. The matrix is reviewed quarterly for legislative changes and updated in real time for audit-driven reclassifications.
- Exemption Certificate Management: Centralized collection, validation, storage, and renewal tracking of exemption and resale certificates using Avalara CertCapture or in-house solutions.
- Streamlined Sales Tax (SST) Compliance: For clients operating in SST member states, leveraging certified service provider (CSP) arrangements to simplify multi-state compliance.
- Marketplace Facilitator Compliance: Advising marketplace sellers and facilitators on evolving state-by-state facilitator obligations, collection responsibilities, and reporting requirements.

## 3.2 Audit Defense

Meridian's SALT controversy team represents clients in sales and use tax audits conducted by state and local taxing authorities. Our audit defense methodology includes:

- Pre-Audit Preparation: Conducting an internal pre-audit review (reverse audit) to identify and quantify potential exposures before the state audit commences, including a review of exemption certificate files, taxability determinations, and use tax accrual procedures.
- Audit Management: Serving as the primary point of contact with the auditor, managing information requests, reviewing sampling methodologies, negotiating sample periods and populations, and challenging inappropriate extrapolations.
- Refund Identification: During the audit process, identifying overpayments and credit opportunities that partially or fully offset assessed deficiencies.
- Appeals and Settlement: Representing clients at informal conferences, formal administrative hearings, and state tax tribunal proceedings. Our track record shows an average 45% reduction in assessed deficiencies through the appeals process.

# 4. Property Tax Consulting

Property tax is the largest source of local government revenue and represents a significant cost for clients with substantial real estate holdings, manufacturing facilities, and capital-intensive operations. Meridian's property tax practice provides:

- Valuation Review and Appeals: Reviewing assessed valuations of real property, personal property (machinery, equipment, fixtures), and business personal property. We file assessment appeals in jurisdictions where valuations exceed fair market value, achieving an average 12-18% reduction in assessed value for contested properties.

- Rendering and Compliance: Preparing and filing annual personal property renditions (declarations) in all jurisdictions with tangible personal property tax obligations. Our rendering process includes asset-by-asset review for obsolescence, reclassification to lower-taxed categories, and identification of assets eligible for exemption.
- Tax Abatement and Incentive Negotiation: Negotiating property tax abatements, tax increment financing (TIF), Payment in Lieu of Taxes (PILOT), and enterprise zone benefits for new facilities, expansions, and corporate relocations.
- Audit Defense: Representing clients in property tax audits, including defending depreciation schedules, cost basis allocations, and business personal property valuations.

## 5. Unclaimed Property

Unclaimed property (escheat) compliance is an often-overlooked obligation that carries significant financial exposure. Most states require holders to report and remit unclaimed property -- including uncashed checks, dormant bank accounts, unredeemed gift cards, outstanding credits, and uncashed payroll -- after a specified dormancy period (typically 3-5 years). Meridian's unclaimed property services include:

- Compliance Reviews: Evaluating the completeness and accuracy of existing unclaimed property reporting across all 50 states, identifying unreported property types and miscalculated dormancy periods.
- Voluntary Disclosure Agreements (VDAs): Negotiating VDAs with state unclaimed property administrators to resolve historical non-compliance. VDAs typically limit the look-back period (often to 10 years vs. an unlimited look-back in audit) and waive interest and penalties.
- Audit Defense: Representing clients in unclaimed property examinations conducted by state-contracted auditors (e.g., Kelmar, Verus Financial). Our approach includes challenging estimation methodologies, negotiating scope limitations, and leveraging VDA programs where available.
- Policy and Process Design: Implementing internal policies and system configurations to prevent future unclaimed property accumulation, including automatic payment clearing, regular customer outreach, and systematic dormancy monitoring.

## 6. Pass-Through Entity (PTE) Elections

In response to the $10,000 federal limitation on individual state and local tax (SALT) deductions imposed by the Tax Cuts and Jobs Act of 2017 (Section 164(b)(6)), more than 35 states have enacted PTE election or PTE tax regimes. These regimes allow partnerships and S corporations to elect to pay state income tax at the entity level, generating a federal income tax deduction that effectively circumvents the SALT cap for the entity's owners.

Meridian assists clients with PTE election analysis, including:

- Multi-State Modeling: Modeling the federal and state tax impact of PTE elections across all states where the entity files, considering interactions between states (e.g., credit mechanisms for tax paid to other states), the entity's owner composition (individuals, trusts, corporations, tax-exempt entities), and the effect on estimated tax payments.
- Election Mechanics: Navigating the procedural requirements for each state's PTE election, including election timing, irrevocability provisions, estimated payment requirements, and composite return filing obligations.
- IRS Notice 2020-75 Compliance: Ensuring PTE tax payments are properly characterized as entity-level deductions for federal income tax purposes in accordance with proposed regulations under Section 164.
- Owner-Level Credit Coordination: Assisting individual owners in claiming state tax credits for PTE taxes paid on their behalf, including coordination of credits across multiple states and resolution of credit-stacking issues.

## 7. State Tax Controversy and Voluntary Disclosure

Meridian's state tax controversy practice handles disputes at every stage of the state tax lifecycle -- from audit defense through administrative appeals to state court litigation. Our controversy services include:

- Audit Defense and Management: Representing clients in income, franchise, sales/use, and gross receipts tax audits conducted by state departments of revenue.
- Administrative Appeals: Preparing and arguing appeals before state administrative hearing bodies, including the California Office of Tax Appeals (OTA), New York Division of Tax Appeals, Texas Comptroller Administrative Hearings, and equivalent bodies in all 50 states.
- Voluntary Disclosure Agreements: Negotiating VDAs with state tax authorities for clients with unaddressed nexus obligations. VDAs typically provide a limited look-back period (typically 3-4 years), waiver of penalties, and in some cases reduced interest.
- Multistate Tax Commission (MTC) Nexus Program: Utilizing the MTC's National Nexus Program to efficiently negotiate simultaneous VDAs with multiple states through a single process.
- Tax Court and State Court Litigation: Engaging experienced state tax litigation counsel (from Meridian's Legal Services network) to pursue judicial remedies when administrative processes are exhausted or constitutional challenges are warranted.
- Amnesty Program Monitoring: Tracking and advising clients on state tax amnesty programs, which periodically offer penalty and/or interest abatement for voluntary payment of back taxes.